

Copper

Where we're going, we don't need balances

- With tight mine supply and structurally supported demand, the medium-term environment for copper prices remains supportive. However, at ~\$13,600/mt, up by more than 40% yoy in a surplus global refined market backdrop, it is hard to argue that copper prices look cheap.
- The key 2H26 catalyst is policy, not balances: the structure/communication following the US review of Section 232 copper tariffs.
- The market is effectively in a US-China tug of war for copper. The US has been pulling metal via an attractive COMEX/LME arb since early 2025, tightening the ex-US market and reducing China's historical role as the marginal price setter.
- Amid this competition, China's buying floor has shifted materially higher. Despite episodic buyer strikes/exports causing volatility, concentrate constraints and the US import pull on copper has forced China to tolerate significantly higher prices to meet overall import needs.
- We believe the Trump administration will pursue a phased, escalating tariff on refined copper cathode imports following the upcoming review to 1) ensure all the copper that has already been imported into the US stays onshore and 2) keep this excess US inventory as a critical reserve, rather than enact policy which incentivizes it to quickly destock in the coming years.
- Escalation is everything: For LME copper prices, the most important flip point between a bullish and bearish outcome is how any communication shapes expectations around the future rate of tariffs on refined copper cathode.
- Escalation equals an incentive to still import copper into the US before tariffs come into force or increase, which is bullish as this US pull on metal continues and China is forced to react. No expectations of escalation, even if an outright tariff is immediately announced, is bearish for LME prices as it will result in a closed US import arb window and a long de-stocking period in the US, giving China its pricing power back.
- As we see this tug of war continuing, we expect copper prices will likely persistently see higher floors and higher ceilings on a push towards \$15,000/mt over the coming quarters, with risks still skewed towards reaching a very bullish pinch point driven by rapidly dwindling ex-US inventories.

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Where we're going, we don't need balances

A supportive backdrop, but copper also isn't exactly cheap. The medium-term environment for copper prices remains supportive. Continued tight copper mine supply — ongoing [weak production from Codelco](#), slower ramp up schedules at disrupted Kamoakakula and Grasberg—and structurally supported demand trends around electrification, which tie into insatiable investor appetite to participate in the data center capex megatrend, have not changed. Add in a [global industrial upturn](#) that our economists believe has further room to run as destructive energy price and inflation tail risks recede and [stronger expected growth momentum in China](#) in 2H26, aided in part by further fiscal support, and the investment narrative in copper looks solid, even with the threat of Fed hikes later this year. Yet, at ~\$13,600/mt, up by more than 40% yoy in a surplus global refined market backdrop, it is hard to argue that copper prices look cheap or aren't already pricing a lot of this good news in.

The structure of the US copper tariffs is the next major catalyst to unlock a push towards \$15,000/mt. So why then, after closely tracking our 2Q26 forecasts, do we remain bullish and now see copper prices continuing to push higher towards \$15,000/mt over the coming quarters (**Figure 1**)? In short, our expectations around US tariffs on copper cathode imports. In our view, the biggest single catalyst for copper fundamentals and pricing over 2H26 will be the results and actions following the US review of Section 232 copper tariffs. Since April, we have been flagging [our view](#) that the Trump administration will pursue a phased, escalating tariff on refined copper cathode imports following the upcoming review. The US's almost relentless pull on copper from the rest of the world since early 2025 has been a material component to copper's rise in the last year and we don't think it's over as we expect the US to structure tariffs and their communication in a way that keeps the COMEX/LME arb open and attractive for continued imports. As we detail further below, despite global oversupply, this has left the rest of world copper market much tighter and has wrenched ultimate price-setting power away from China, the dominant consumer. While Chinese buyer strikes and opportunistic exports at higher prices haven't fully gone away and will still drive volatility, this arb tug of war between the US and China, which we think will continue, is a market where copper prices will likely persistently see higher floors and higher ceilings, and still risks reaching a very bullish pinch point in the coming quarters driven by rapidly dwindling ex-US inventories.

Figure 1: JPM copper price forecasts

LME cash in US\$ per metric tonne, quarterly and annual averages

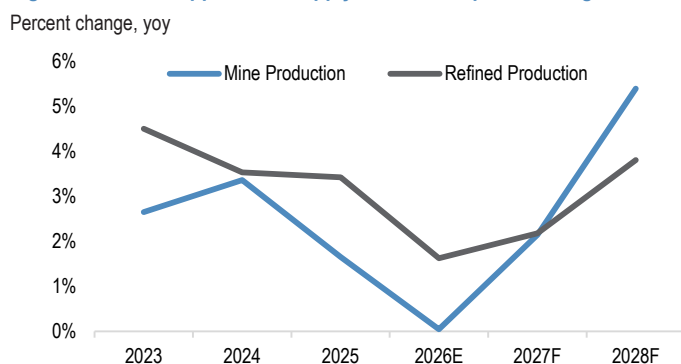
		4Q2025A	2025A	1Q2026A	2Q2026	3Q2026	4Q2026	2026	1Q2027	2Q2027	3Q2027	4Q2027	2027
Copper	New	11,105	9,947	12,824	13,415	14,500	14,800	13,885	14,000	13,800	13,800	13,600	13,800
	Old (Feb 2026)	11,105	9,947	12,875	13,500	13,000	12,500	12,969	11,800	11,600	11,600	11,500	11,625
	Change	0%	0%	0%	-1%	12%	18%	7%	19%	19%	19%	18%	19%

Source: J.P. Morgan Commodities Research

Global S&D balances don't really matter in copper tug of war

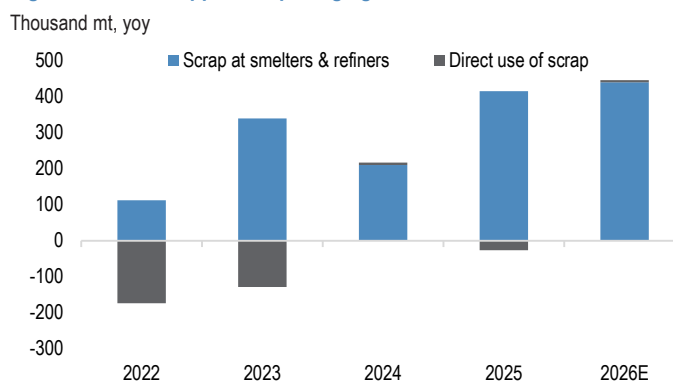
Many of our regular balance updates drill deep into our outlook and assumptions for copper supply and demand. This one won't. Given the uncertainty around future tariffs, the persistently open US import arb window for copper cathode and the accompanying material pull of metal into the US means that the global picture of the copper supply and demand balance has significantly lost its pricing power, for now. To this end, our latest balance now shows a refined market surplus of over 500 kmt in 2025, yet LME copper prices were up by 42% on the year. Looking to this year, despite mine supply remaining very tight (this is still very important), our global refined balance has swung to a surplus of around 360 kmt. A slight decrease in our demand growth estimates (+2.2% yoy in '26) loosens things somewhat, but most of this swing comes from another sharp boost to our assumptions of scrap volumes flowing into the supply chain at smelters and refiners, mainly in China, which leaves global refined production growing by +1.6% yoy in 2026 despite flat mine supply growth (**Figure 2 & Figure 3**). While a tightening in tax invoice regulations disrupted Chinese scrap supply in the last quarter, we largely see this as a bottleneck which will eventually ease, rather than a structural sea change which will diminish available scrap over the long-term.

Figure 2: Global copper mine supply and refined production growth



Source: Company Reports, Government and Industry data, CRU, Wood Mackenzie, BGRIMM, J.P. Morgan Commodities Research

Figure 3: Global copper scrap usage growth



Source: CRU, BGRIMM, J.P. Morgan Commodities Research

In summary, despite continued tight concentrate markets, Chinese refined production continues to refuse to yield, utilizing any and all available copper units to maintain output and ultimately leaving the global refined copper market well supplied. For a real life sense check, the US importing another nearly 400 kmt YTD above its implied needs (after 870 kmt of excess imports last year), demonstrably shows we are not in a deficit global refined copper market in our view. The thing is, for as long as the U.S. continues to vacuum up excess copper from the rest of the world, this global oversupply is somewhat irrelevant, as the ex-US refined copper market will remain tight, leaving LME copper prices caught in the middle of a tug of war between the US and China for copper.

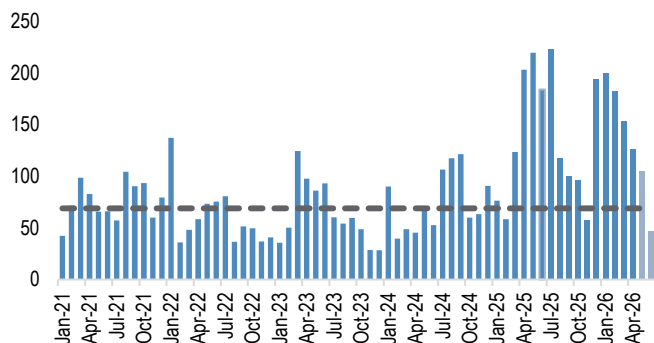
As the US vacuums up copper, China has had to react too

The US has built a ~1.2 mmt stockpile in 18 months. Since the door was opened for potential refined copper tariffs in early 2025 (and was left open last summer), US monthly refined unwrought copper imports have averaged around 140 kmt (Jan 2025-May 2026), nearly double the 75 kmt a month average in 2024 (**Figure 4 & Figure 5**). Adding in estimates for US refined copper supply and demand, excess US imports of

copper likely amounted to close to 870 kmt last year. And it has continued so far this year, with estimates through May pointing to nearly an additional 400 kmt excess build YTD. To put this in more general context, actual US refined copper demand is about 6% of global, but in the last year and a half it has been pulling on the market like it's an importer consuming closer to 9% of global demand, a very big shift.

Figure 4: Monthly US refined copper imports

Thousand mt, dashed line is 2021-2024 average

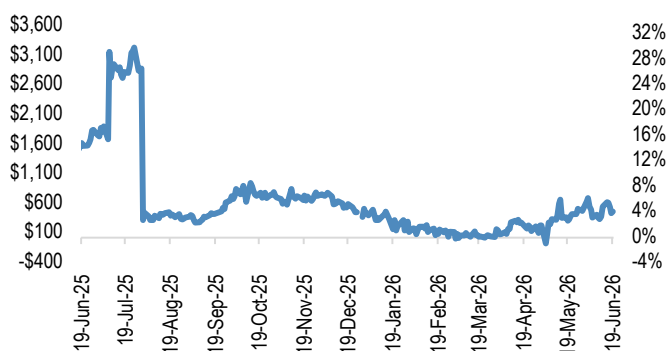


Note: 01 May - 16 Jun 2026 estimated based on bill of lading data.

Source: US Census Bureau, IHS Markit, Bloomberg Finance L.P., J.P. Morgan Commodities Research

Figure 5: Jul'26 COMEX/LME copper spread

LHS: US\$/mt, RHS: Percent of LME price

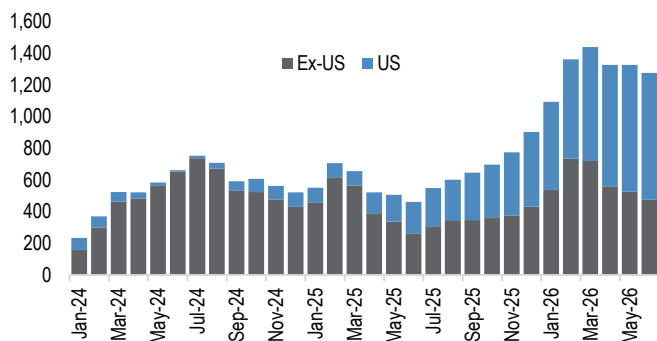


Source: Bloomberg Finance L.P.

This US pull on metal has driven China to alter its behavior too. To be clear, the US is importing more copper because price differentials, embedding the potential for tariffs, are incentivizing it, not because it is consuming all this extra metal. But this diversion of copper and dislocation in global inventory has nonetheless driven serious ripple effects (Figure 6). On the other end of the rope in this game of tug of war is China. Given the tightness in global concentrate supply, which limits China's ability (even with greater scrap use) to fully ramp up all its planned smelter/refined supply, China still needs to import serious amounts of copper cathode to feed its own domestic demand, and these imports need to be attracted by an open SHFE/LME import arb. Our balances, which assume around 13.3 mmt of Chinese refined supply (+3.3% yoy) this year and 15.9 mmt of Chinese refined demand (+2.5%), show a net import cathode requirement of around 2.6 mmt in 2026 (this is where balances still do matter quite a lot).

Figure 6: Global visible copper inventories by location

Thousand mt

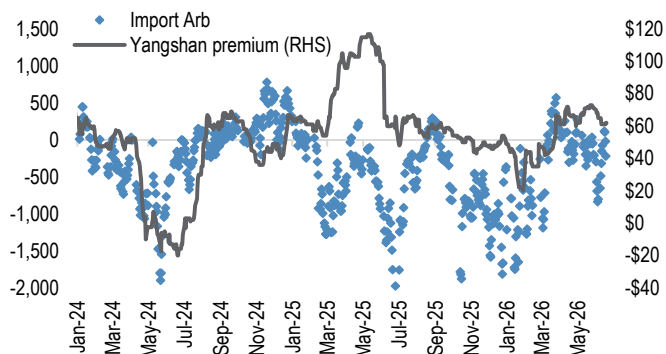


Includes LME (+ off warrant), COMEX, SHFE, Chinese bonded stocks

Source: CRU, LME, SHFE, COMEX. Includes Chinese bonded stocks in Shanghai, Guangdong and Qingdao. As of 19th June 2026, LME off-warrant as of 16th June 2026.

Figure 7: Chinese spot copper import arbitrage and onshore spot premium/discount

LHS: CNY/mt ; RHS: US\$/mt

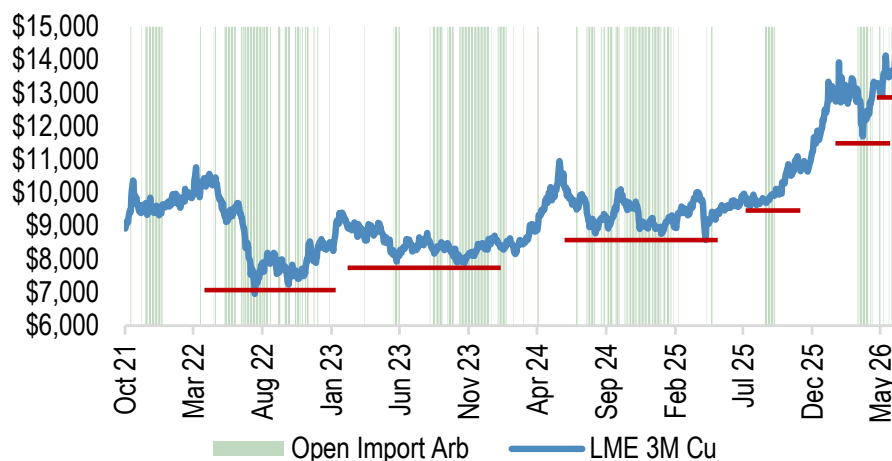


Source: SMM, Bloomberg Finance L.P., J.P. Morgan Commodities Research. *Arb as of 8:00 AM London.

Before this huge pull into the US emerged, China was the behemoth in the seaborne copper market, making it the ultimate marginal price setter. If prices got too high, Chinese buying would slow (e.g. buyer's strike), closing or even reversing the SHFE/LME import arb (**Figure 7**). China would then wait for the fever to break and re-engage again after prices had pulled back materially. We can see classic examples of this back when prices pushed up towards \$11,000/mt in early 2022 and mid-2024 (**Figure 8**). However, the combined pressure from concentrate constraints and boosted US imports have diminished China's price-setting ability, leading to a sharp push higher in Chinese buying floors as China looks to secure its required imports. To be clear, China's influence is far from dead, but they have had to be willing to accept materially higher prices recently.

Figure 8: China's buying floor has moved sharply higher in the last year

LME 3M Copper prices (US\$/mt) vs an open Chinese spot copper import arb window



Source: LME, Bloomberg Finance L.P., J.P. Morgan Commodities Research. *Arb as of 8:00 AM London.

Case in point, Chinese purchasing went ice cold (buyer's strike, boosted copper cathode exports to the LME) over late 2025 and early 2026 as copper prices first ran up to \$14,000/mt. Come March, a war-driven wobble in risk sentiment drove a correction lower in copper prices. Yet as soon as we approached a still lofty \$12,500/mt China's import arb window jerked open and inventory draws sharply accelerated. This marked more than a \$2,000-3,000/mt jump higher in China's buying floor (**Figure 8**). And it's continued to creep even higher recently, with the arb window fluttering open on dips to \$13,500/mt.

US tariffs: Escalation is everything for LME prices

By June 30, 2026 the US Commerce Secretary is to provide President Trump with an update on domestic copper markets so that the President can assess whether additional Section 232 tariff modifications are necessary. More specifically, in the June 30, 2025 report, the Commerce Secretary already recommended "imposing a phased universal import duty on refined copper of 15 percent starting on January 1, 2027, and 30 percent starting on January 1, 2028." This was not implemented last year but is up for review now.

While high conviction in tariff-related decision-making is admittedly hard to come by, our base case remains that the Trump administration will in fact move forward with enacting a phased tariff approach. Why? Now that the US has likely built more than 1 mmt stockpile of refined copper in the last 18 months and the groundwork for Project Vault has been laid out, we think the administration will tailor a strategic tariff policy on refined copper to accomplish two goals: 1) ensure all the copper that has already been imported into the US stays onshore and 2) keep this excess US inventory as a critical reserve, rather than enact policy which incentivizes it to quickly destock in the coming years. Hence, in our view, the simplest way to ensure both is to follow through by enacting an escalating tariff. Once enacted, the tariff rate sets a very high bar for ex-US prices to incentivize any onshore copper to leave while the escalatory nature of tariffs keeps attracting imports to the US, disincentivizing a destock of inventory already in the US and allowing the government to generate tariff income on these imports. With 50% tariffs already in place on downstream semi-finished copper products, the administration also has some runway for this escalation on copper cathode imports to progress.

Escalation is everything. There are countless iterations of what might be announced, if anything... there is no requirement or specified timeline for a response from President Trump. For LME copper prices, the most important flip point between a bullish and bearish outcome is how any communication shapes (whether formally or informally) expectations around the future rate of tariffs on refined copper cathode. Escalation equals an incentive to still import copper into the US before tariffs come into force or increase, which is bullish as this US pull on metal continues and China is forced to react. No expectations of escalation, even if an outright tariff is immediately announced (e.g. an immediate jump to 50% tariffs on cathode), is bearish for LME prices as it will result in a closed US import arb window and a long de-stocking period in the US. Current implied US inventory of ~1.2 mmt would cover almost 20 months of average 2024 imports. With the US out of the import market, the tug of war pressure is off China and they regain pricing power and are unlikely to re-engage fully until prices are much lower, say \$10,000-\$11,000/mt or below.

Very bullish pinch point risks could return into focus under a forward-starting, escalatory tariff. With our expectation being that the US wants to protect this copper stockpile (not have it disappear via destocking over the next two years), we think any communication will at least re-enforce the threat of future tariffs, even if they are not formally enacted yet. But even within this “escalatory” branch of potential outcomes, there can be differences.

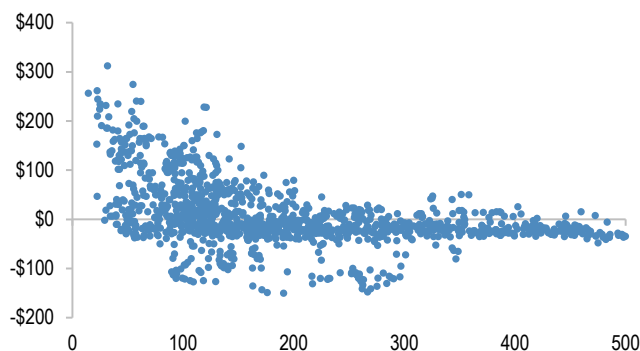
- **A forward-starting, escalatory tariff regime is the most bullish outcome for LME prices** as there could be another immense rush to get copper to the US in the coming months ahead of the start date. Even with ~50% of LME copper stocks being of Chinese origin, which won't go directly to the US, this metal could still quickly be drawn as swap agreements are struck to free up as much US-deliverable metal as possible to divert to the US ahead of the tariff. Under this scenario, as LME inventory likely draws dramatically, we think the risk is skewed towards an overshoot of our already bullish forecasts in 2H26 ahead of the tariff start as LME curve structure likely punches into a sharp backwardation (**Figure 9 & Figure 10**) (See [Metals Weekly: Copper—It's only the end of the beginning](#), 04 Dec 2025). Volatility will remain though as opportunistic Chinese exports likely ramp up again to deliver into this backwardation. However, this isn't a long-term solution, just a give and take cycle, as China still remains structurally net short copper cathode.

Moreover, there remains the risk that Chinese policy makers impose more stringent restrictions on copper exports if they start to become more concerned about supply security.

- **Other “escalatory” regimes likely still keep the tug of war ongoing.** Given the risk of market disruption, the administration might elect keep the escalation component but start tariffs more immediately (immediate 15% tariff accompanied by either a future escalatory review or scheduled tariff increase). Or they may ultimately decide they can just continue to prolong a period of ambiguity and accomplish their goals (no announced tariff but another review period with the likelihood of a future tariff). These other “escalatory” scenarios, while not as punchily bullish, would nonetheless likely keep this tug of war for copper ongoing (like it has this year). And as long as the COMEX/LME arb remains open, we see the potential for copper prices to continually push towards higher floors and higher ceilings in the coming months and quarters ahead.

Figure 9: LME on-warrant copper stocks vs LME cash-3M spread, weekly

X-axis: Thousand mt, Y-axis: US\$/mt (+ = backwardation / - = contango)



Data since 2000, x-axis truncated to 500 kmt

Source: LME, Bloomberg Finance L.P., J.P. Morgan Commodities Research

Figure 10: Weekly returns of LME 3M copper prices under different LME on-warrant inventory environments

On-warrant LME inventory of...		Positive Hit Rate	Average Weekly Return	Median Weekly Return
100 kmt or less and...	Decreasing WoW	63%	0.96%	1.09%
	Increasing WoW	50%	0.14%	0.01%
	Either	57%	0.56%	0.64%
Greater than 100 kmt and...	Decreasing WoW	58%	0.60%	0.37%
	Increasing WoW	46%	-0.41%	-0.41%
	Either	52%	0.10%	0.01%

Weekly data since 2000

Source: LME, Bloomberg Finance L.P., J.P. Morgan Commodities Research

Figure 11: Copper supply and demand balance

Thousand metric tonnes

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027F	2028F
Mine Production	20,090	20,889	20,881	20,958	21,391	22,067	22,653	23,415	23,803	23,814	24,325	25,639
growth	-0.4%	4.0%	0.0%	0.4%	2.1%	3.2%	2.7%	3.4%	1.7%	0.0%	2.1%	5.4%
Refined Production	22,674	23,415	23,448	23,508	24,273	24,534	25,640	26,547	27,456	27,903	28,512	29,598
growth	1.0%	3.3%	0.1%	0.3%	3.3%	1.1%	4.5%	3.5%	3.4%	1.6%	2.2%	3.8%
Refined Use	22,763	23,548	23,553	22,954	24,371	24,699	25,287	26,189	26,944	27,545	28,381	29,258
growth	2.8%	3.4%	0.0%	-2.5%	6.2%	1.3%	2.4%	3.6%	2.9%	2.2%	3.0%	3.1%
Balance	-90	-133	-105	554	-98	-165	353	358	512	359	132	341
Balance adjusted for governmental purchases/sales	-90	-133	-105	-46	12	-165	353	358	512	359	132	341

Source: Company Reports, Government and Industry data, CRU, Wood Mackenzie, BGRIMM, J.P. Morgan Commodities Research

Figure 12: Copper supply and demand balance by region

Thousand metric tonnes

Mine Production	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027F	2028F
Asia	3,006	3,208	2,956	3,069	3,185	3,390	3,387	3,707	3,432	3,560	3,960	4,272
China	1,531	1,616	1,691	1,709	1,829	1,886	1,850	1,966	1,996	2,096	2,187	2,294
North America	2,635	2,513	2,611	2,493	2,468	2,412	2,308	2,257	2,397	2,384	2,444	2,427
Central & South America	8,349	8,619	8,764	8,493	8,686	8,627	8,900	8,852	8,791	8,641	8,982	9,514
Europe	1,106	1,061	1,016	1,039	1,056	1,105	1,087	1,103	1,076	1,207	1,257	1,296
Eurasia	1,663	1,768	1,856	1,880	1,799	1,889	1,966	2,040	2,272	2,467	2,572	2,724
Middle East	341	379	379	373	408	415	423	444	513	545	601	640
Africa	2,128	2,429	2,440	2,708	2,950	3,394	3,776	4,211	4,586	4,881	5,292	5,745
Oceania	862	913	858	905	839	836	807	801	735	751	769	890
Mine Production	20,090	20,889	20,881	20,958	21,391	22,067	22,653	23,415	23,803	24,438	25,878	27,509
Refined Use	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027F	2028F
Asia	15,287	15,907	16,206	16,137	17,005	17,377	18,179	18,948	19,676	20,183	20,800	21,411
China	11,194	11,873	12,209	12,556	13,207	13,468	14,293	14,938	15,533	15,913	16,375	16,833
North America	2,182	2,253	2,260	2,076	2,219	2,224	2,132	2,200	2,188	2,264	2,361	2,459
Central & South America	429	436	453	389	431	404	393	400	400	404	414	423
Europe	3,500	3,561	3,298	3,123	3,405	3,422	3,293	3,301	3,331	3,363	3,442	3,560
Eurasia	394	396	377	361	402	343	362	365	360	356	353	354
Middle East	767	796	780	719	734	760	748	794	810	795	831	868
Africa	185	181	164	137	164	158	168	169	167	167	169	170
Oceania	19	19	15	11	11	12	12	12	12	12	12	12
Refined Use	22,763	23,548	23,553	22,954	24,371	24,699	25,287	26,189	26,944	27,545	28,381	29,258
Global Balance	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027F	2028F
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Source: Company Reports, Government and Industry data, CRU, Wood Mackenzie, BGRIMM, J.P. Morgan Commodities Research

JPM metals price forecasts

Quarterly and annual averages

	4Q25A	1Q26A	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027
Base Metals												
Aluminum	2,828	3,198	3,650	3,800	3,700	3,450	3,200	2,900	2,750	2,631	3,587	3,075
Copper	11,105	12,824	13,415	14,500	14,800	14,000	13,800	13,800	13,600	9,947	13,885	13,800
Nickel	14,892	17,338	17,500	17,000	17,250	17,500	18,000	18,000	17,500	15,164	17,272	17,750
Zinc	3,165	3,237	3,420	3,500	3,400	3,300	3,200	3,050	3,000	2,867	3,389	3,138
Precious Metals												
Gold	4,152	4,873	4,800	5,300	6,000	6,200	6,250	6,300	6,300	3,440	5,243	6,263
Silver	55.2	83.7	78.5	85.0	90.0	88.0	87.0	85.0	83.0	40.1	84.3	85.8
Platinum	1,694	2,204	2,050	2,250	2,400	2,450	2,400	2,300	2,250	1,282	2,226	2,350
Palladium	1,478	1,706	1,490	1,550	1,600	1,550	1,500	1,450	1,400	1,151	1,586	1,475

Source: J.P. Morgan Commodities Research. *Base metals are LME cash and precious metals are spot.

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